



Q: What's your experience on the agri front?

A: Agri is phenomenal. I find it tragic that when we go to the rural market, we find it completely unfunded even now. The other day I went to a village and met about 70 villagers... most of them were taking money from us to buy a buffalo, goat or cow... The typical ticket size of the loans is ₹2-3 lakh... the [cost] of a cow or buffalo typically [is recovered] in about seven or eight months... And our collection percentage is 99.7 per cent; gross NPA is 1.2 per cent; net NPA is 0.3 per cent... for them (the villagers) to get formal credit from our bank is so much better than taking informal credit... [and] they respect that. The more you can do financing in rural India [the better it is as] you are also changing lives. For example, we are doing water financing, toilet financing... [we've had] fantastic repayments. We finance the hand pump, the pipe that takes the water to the tank, the tank; after the water comes to the customer's home, we finance the water purifier, and then we finance... the toilet. The whole thing could cost about ₹40,000—you're financing loans of ₹40,000-50,000; we have given 328,000 loans, ₹1,200 crore, [with] gross NPA of 1.3 per cent and net NPA of 0.3 per cent. So, when you talk about rural, I think this is really [where] India is changing, and we have given 30 million loans [in total to the rural market].... The big thing that we're seeing is India moving from offline to online. And the good thing is that the government is pushing it.

Q: New NBFCs that have come up from storied business houses. How do you see this

competitive environment at a time when the regulatory arbitrage is becoming narrower?

A: As of now, demand is more than what the banking system can supply as credit. At our bank, we want to grow not more than 24-25 per cent; [but] demand is 35-40 per cent. We have to say no even to good business... the regulator is conveying the message from time to time for the system to calm down, and we respect that. So we're slowing down our bank—meaning we want to stay within the radar of what is acceptable credit growth... I feel that it's good for India that more players are coming in... How will India become \$5-10 trillion? The same 20 banks cannot make it [happen].

Q: Do you see corporates coming into banking?

A: I can't comment on that... but generally speaking, I feel that India needs more banks, more NBFCs, more foreign capital, because we should not forget that our per capita income is still very low. I'm waiting for the day [the country] becomes a \$10-15 trillion [economy]. By 2030 it will be a \$7-trillion economy, so who will finance it? The current model is good, but more is better.

Q: The government has cleared a lot of the cobwebs of the past. What are a few things you want to see over the next few years? | 111

A: Reforms. When the government did, for example GST, people thought only GST is great... but the benefit is in terms of how the roads are working and that there are no tolls on the road, etc. So, we should continue to do reforms. GST was one big thing, IBC is a big thing... the good thing is, on the corporate side, India has brought in a lot of controls. I don't believe that what happened in the 2000s, [will happen] at least in the near future... because people are more conscious. Nobody—both state owned and private sector [banks]—wants to dish out money; that culture is not there anymore as of now, [and] I hope it stays this way. On the retail side, again, a lot of guardrails have come [up]... [there are credit] bureaus with 600 million records, cash flow controls have come. So for both retail and wholesale, controls have come, which is a good thing.

[As for] risks, one is retail and wholesale lending risk [of which we are very careful]. But the big risk we should be very careful about is cyber, because it is an unknown unknown... [Plus, there] is operational risk—[for example,] there's a glitch in the system, etc. **BT**

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